

How to Build an HR AI Investment Portfolio to Secure ROI

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Initiatives: Transform HR through AI; Technologies and Markets

Figuring out which AI use cases to invest in can feel like guessing. CHROs often end up diluting ROI by overinvesting in safe use cases or chasing risky, hype-driven functionalities. Use this research to build an AI investment strategy that generates short-term wins and long-term returns.

Insights at a Glance

Key Insights

As AI investments accelerate, on average, HR teams spent 13% of their functional budget on AI in 2025. ¹ A new pattern is emerging with this spending volume, with HR leaders often falling into one of two HR AI traps:

- Overinvesting in safe, proven use cases that deliver short-term incremental wins while leaving the organization behind on emerging value and future readiness
- Chasing hype-driven AI functionalities without a concrete ROI timeline, sufficient resources to support the implementation, or clearly defined and measurable impacts

Gartner's Position

CHROs need to create an investment strategy and portfolio for their HR AI solutions that align with their business strategy and risk appetite. This includes creating a defensible AI program budget and sustaining business value delivery with AI in the long term.

Recommended Actions for CHROs

- Inventory and classify AI use cases into one of three investment types:
 - **Within boundaries** — Investments with well-understood workflow impact, proven adoption and reliable benchmarks. For these, quantify benefits comprehensively and commit to ROI.
 - **Pushing boundaries** — Investments with a credible value hypothesis, but uncertain magnitude due to uncertain usage patterns or downstream effects. For these, quantify one or two benefits and pilot before scaling.
 - **Breaking boundaries** — Investments with high uncertainty/high reward, dependent on significant new data foundations, operating model change and organizational readiness. For these, avoid promising ROI; instead, define readiness outcomes, leading indicators and stop/scale criteria.
- Score the use cases across benchmarkability, data readiness, integration, adoption, risk, vendor maturity and time to impact to confirm your investment type alignment.
- Build AI portfolios anchored in proven value, and continuously rebalance the right mix of use cases based on strategy, risk tolerance and maturity.

Why This Matters Now

AI investment in HR is accelerating, yet most organizations struggle to translate this momentum into consistent returns and sustained business value. Under intensifying scrutiny from CEOs and CFOs to demonstrate measurable returns, CHROs often default to safe use cases with limited strategic impact, or pursue hyped, high-risk bets that delay outcomes and erode stakeholder trust.

Without a structured, portfolio-based approach to AI investment, CHROs risk creating random pilots that fail to scale, resulting in missed value targets and misaligned expectations with CEOs and CFOs. That undermines HR's credibility and makes it increasingly difficult to secure future innovation funding.

By adopting a disciplined portfolio management strategy, CHROs can optimize budget allocation, accelerate value realization and reinforce their credibility. Success enables HR to deliver near-term, quantifiable benefits while simultaneously building the capabilities required for long-term competitive advantage. Conversely, failure to balance the AI investment portfolio risks stalled initiatives and a widening gap between AI ambition and realized impact.

Actions

- **Classify use cases and align expectations:** Systematically inventory all current and planned HR AI use cases. Classify each into one of three investment types — within boundaries, pushing boundaries or breaking boundaries — using a consistent scoring model across data readiness, adoption, risk, integration and time to impact. CHROs will need to make some trade-offs as not all HR functions will require use cases in each investment type.
- **Assess use cases and align funding:** Tailor funding, governance and success measures to each investment type. For within-boundaries use cases, commit to ROI and plan for scaling. For pushing-boundaries use cases, conduct time-boxed pilots and quantify one or two benefits before broader rollout. For breaking-boundaries use cases, cap investments, track readiness metrics and establish clear stop/scale criteria.
- **Define and rebalance portfolio mix:** Establish and maintain a target portfolio mix (e.g., conservative, balanced or disruptor) based on business strategy, risk tolerance, technical and data maturity, and organizational change capacity. Revisit and rebalance the portfolio regularly (at least semiannually) to ensure alignment with evolving use-case processes, business needs and technology solutions.

How to Build an HR AI Investment Portfolio

Inventory and Classify Use Cases

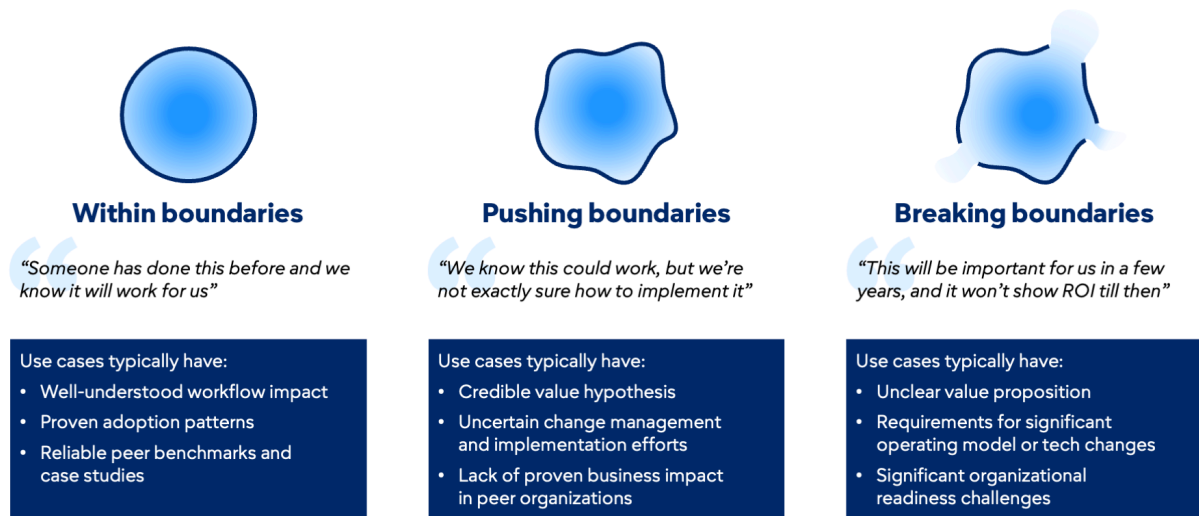
Begin by systematically inventorying all implemented, in-progress and planned HR AI use cases to create a consolidated view of available investment options. Include HR-led initiatives, as well as those driven by business units, that materially affect HR workflows, decisions or outcomes. Avoid combining use cases, as each use case needs to be scored and evaluated separately in the next step.

Next, classify each use case into one of three investment types to ensure consistent prioritization, funding, value communication and governance (see Figure 1):

- Within boundaries
- Pushing boundaries
- Breaking boundaries

Figure 1: Types of HR AI Investments

Types of HR AI Investments



Source: Gartner
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Within Boundaries

These are use cases with well-understood workflow impact, proven adoption patterns, mature vendors, and reliable benchmarks or case studies where value and time to impact can be estimated with confidence. Such use cases may already exist today with non-AI workflows. AI adoption here aims to elevate productivity and deliver predictable, near-term value.

Treat within-boundaries use cases as scalable investments. Allocate full funding and set clear ROI targets upfront. Governance should focus on execution discipline: driving adoption, tracking realized value against committed ROI and scaling across the enterprise. Hold these initiatives to the same accountability standards as other core operational investments. Refer to [Tool: AI Roadmap for HR](#) on how to best manage and prioritize activities needed for a successful AI transformation.

Examples of within-boundaries use cases include HR virtual assistants, voice of employee data insights and employee flight risk analysis.

Pushing Boundaries

These are use cases where the value hypothesis is credible, but the magnitude, timing or distribution of value is uncertain because usage patterns, behavior change or downstream business impacts are not yet well understood. Typically, HR teams have seen these use cases as leading practices elsewhere and believe they are valuable to the organization. However, the tactical steps needed to move from current state to desired future state may seem murky.

Treat pushing-boundaries use cases as controlled experiments. Provide funding for time-boxed pilots with clearly defined hypotheses, success criteria and measurement plans. Quantify one or two defensible benefits upfront; avoid full ROI commitments until adoption and business impact are proven. Governance should emphasize learning velocity and decision clarity — documenting validated outcomes, remaining uncertainties and whether to scale, refine or stop. See [5 Reasons Why AI Experiments Fail in HR and How to Avoid Them](#) for details on how to set up and scale AI experiments in HR.

Examples of pushing-boundaries use cases include autonomous HR AI agents, AI coaching for leaders and virtual reality used in learning and development activities.

Breaking Boundaries

These are use cases where it is unclear whether value exists or where success depends on significantly new technical and data foundations, operating model changes or organizational readiness. The value promise these use cases carry appears to be credible, but their feasibility for the organization is uncertain. Treat these high-uncertainty, high-potential bets as strategic options that will drive future payoff, not traditional investments that will see immediate ROI. Organizational risk tolerance and operational readiness will determine the nature of these cases: What may be breaking-boundaries use cases in some organizations could also be within boundaries for others.

Instead of ROI, track readiness metrics (e.g., data quality, adoption capability, governance maturity) and leading indicators of value creation. Establish clear stop/scale criteria upfront and enforce them rigorously to avoid prolonged, unproductive investment. Governance should center on risk control and strategic alignment, ensuring these bets do not undermine credibility or divert disproportionate resources. See [Playbook: Preparing the Transformation to an AI-Infused HR Operating Model](#) for readiness metrics and preparing for successful AI transformations.

Examples of breaking-boundaries use cases include agentic HR service delivery, AI-driven workforce planning and agentic leave-of-absence administration.

Assess and Score Use Cases

Use a 1 to 5 scoring scale to assess investments across various criteria. The total score will help you classify the investment type the use case should fall under (see Figure 2 for an example).

Figure 2: Sample Evaluation of HR AI Use Cases

Sample Evaluation of HR AI Use Cases

Criteria	Weight	HR virtual assistant	AI coach for leaders	AI-driven workforce planning
Benchmarkability (5 – highly benchmarkable)	15%	5	3	2
Data readiness (5 – data ready)	10%	4	4	1
Technology readiness (5 – tech ready)	10%	4	3	2
Integration simplicity (5 – low complexity)	10%	3	4	3
Adoption readiness (5 – seamless adoption)	15%	4	4	2
Risk profile (5 – very low / no risk)	15%	4	3	2
Vendor maturity (5 – mature vendor with proven solution)	10%	5	4	3
Time to impact (5 – immediate impact)	15%	4	2	2
Weighted score		4.15	3.30	2.10
Investment type		Within boundaries	Pushing boundaries	Breaking boundaries

Source: Gartner
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Recommended criteria are:

- **Benchmarkability** – How much credible evidence (e.g., peer references, case studies, etc.) exists to estimate value, risk and implementation effort? A score of 5 indicates the use case is highly benchmarkable, with readily available peer references and case studies.
- **Data readiness** – Is the data required for the AI use case available, accessible and consistent? A score of 5 indicates the data is available for consumption in the format required by the AI tool and can be consistently updated/fed to the tool.
- **Technology readiness** – Are the technology solutions, integrations and interoperability structure needed for AI accessible and ready for use? A score of 5 indicates the technology infrastructure is available for immediate use.

- **Integration simplicity** — How easy is it to integrate AI capabilities into the existing HR technology stack and workflows? A score of 5 indicates low complexity and the existing HR technology ecosystem works well with new AI functionalities across all aspects (e.g., integrations, identity management, security, cross-platform and interoperability protocols).
- **Adoption readiness** — How likely is it that end users will use the AI solution consistently, given the solution design, usability, trust and change efforts required? A score of 5 indicates the AI solution will integrate into existing workflows, with minimal to no change management efforts needed.
- **Risk profile** — What are the anticipated risks associated with the use case (across all aspects such as legal, privacy, fairness, reputation and employee/labor relations)? A score of 5 indicates the anticipated risk is minimal to none.
- **Vendor maturity** — How proven are the vendors and their products in production environments in the market? A score of 5 indicates the vendor has proven financial stability, support models, roadmap and compliance with multiple customer and market references.
- **Time to impact** — How quickly do you anticipate achieving measurable value after launching the AI solution, including the time needed for adoption? A score of 5 indicates immediate impact as defined by your organization.

Assign weights to the criteria and calculate a composite score for each use case. Use the following rules of thumb to classify and adjust to reflect your organizational context.

Make sure to identify exceptions, as required:

- **Within boundaries** — average score of ≥ 4 and no scores of ≤ 2 in data/adoption/risk
- **Pushing boundaries** — average score of 3 to 4 or one or two scores of ≤ 2 that a pilot can address
- **Breaking boundaries** — average score of < 3 or more than two scores of ≤ 2 across data/adoption/risk

Given that the perception and scoring of criteria may be subjective, CHROs should gather a team of leaders and stakeholders who are central to the HR AI transformation program to align on the composite score and underlying assumptions.

Define and Rebalance Portfolio Mix

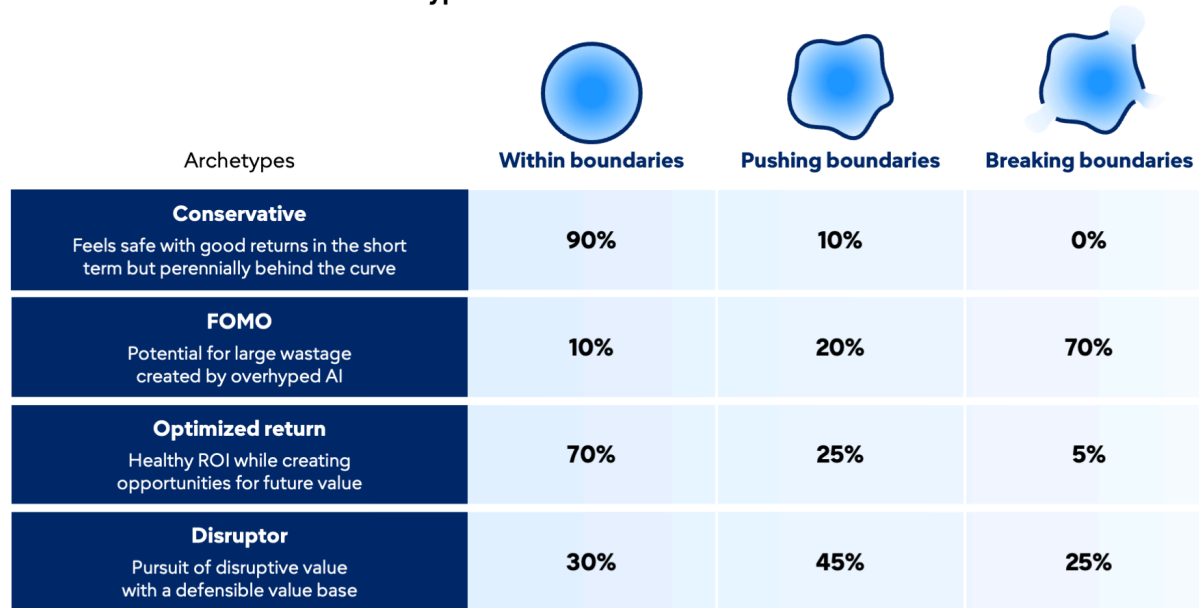
Establish an explicit target portfolio mix for HR AI investments, grounded in your organization's business strategy, risk appetite, data maturity and change capacity. Avoid allowing the portfolio to evolve by default — a clearly defined target mix ensures that collective investment decisions deliver both near-term value and future competitive advantage.

Leverage the four portfolio archetypes to make strategic trade-offs transparent (see Figure 3):

- **Conservative portfolios** — This option prioritizes within-boundaries use cases to maximize efficiency, improve predictability and reduce risks, but carries downside potential in terms of underinvesting in future capabilities.
- **FOMO portfolios** — This option overindexes on breaking-boundaries use cases, signaling ambition but frequently failing to deliver promised value.
- **Balanced portfolios** — This option intentionally distributes AI investments across all three use-case types, combining short-term wins with long-term optionality and organizational learning.
- **Disruptor portfolios** — This option concentrates investment in pushing-boundaries and breaking-boundaries use cases, but anchors the portfolio in proven within-boundaries value to sustain credibility.

Figure 3: HR AI Investment Portfolio Archetypes

HR AI Investment Portfolio Archetypes



Source: Gartner
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Selecting which portfolio is best suited for your organization will depend entirely on your business strategy, resource availability and risk tolerance. A portfolio that works well for a high-tech growth organization may not be well suited for a midsize financial services operation. Revisit and rebalance the portfolio at least semiannually — or more frequently in rapidly changing environments — to reflect shifts in business priorities, market conditions, technology maturity and organizational readiness.

Success Measures

Evaluate success at both the use-case and portfolio levels to ensure comprehensive value realization and strategic alignment.

- **Within-boundaries investments** — Track realized ROI against initial commitments, adoption rates across user groups or geographies, and the speed and scale of implementation. Success is defined by predictable value delivery, operational efficiency gains and achievement of specific business outcomes.

- **Pushing-boundaries investments** — Measure pilot outcomes, including achievement of defined success criteria, validated learning and the emergence of quantifiable value beyond the initial hypothesis. Success is demonstrated through evidence of adoption, behavioral change, and identification of new or expanded value streams that justify broader scaling.
- **Breaking-boundaries investments** — Focus on readiness indicators such as data quality, governance maturity and workflow integration. Success is indicated by progress against defined readiness milestones, achievement of leading indicators and disciplined application of stop/scale criteria.

At the portfolio level, assess whether the overall investment mix aligns with the organization's defined target state (e.g., conservative, balanced, disruptor) and whether the organization is actively rebalancing resources based on evidence, adoption and realized business impact. Use periodic portfolio reviews to ensure strategic intent is translating into measurable outcomes and to inform future investment decisions.

Evidence

¹ **2026 Gartner C-Suite AI Survey.** This survey was conducted to understand how enterprises are approaching AI, including budget allocations, current state of implementation and impact, AI strategy, and use cases across key business functions. The functions covered in the survey include finance (n = 160), HR (n = 135), procurement (n = 134), supply chain (n = 135), marketing (n = 154), sales (n = 135), customer service (n = 95), IT (n = 161), product management (n = 59) and legal/risk/compliance (n = 135); legal subfunction (n = 84), compliance subfunction (n = 31). The research was conducted online from January through April 2026 among 1,303 respondents across various industries and regions, including North America (n = 671), EMEA (n = 425), Asia/Pacific (n = 141), LATAM (n = 65), and others (n = 1). Qualifying organizations reported enterprisewide annual revenue of at least \$50 million (or equivalent) in fiscal year 2025. Participants were required to be either the most senior leader or one level below the most senior leader within their respective function, and have familiarity with AI strategy, implementation, and budget for that function. Disclaimer: The results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

Recommended by the Authors

Some documents may not be available as part of your current Gartner subscription.

2026 HR Budget and Efficiency Benchmarks Report

Toolkit: Measure and Communicate the ROI of AI in HR

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